



2011 FINANCIAL RESULTS KCB INVESTOR AND MEDIA BRIEFING 1ST MARCH 2012 NAIROBI

MR. PETER W. MUTHOKA, MBS, KCB GROUP CHAIRMAN
DR. MARTIN ODUOR-OTIENO, CEO-KCB GROUP
MR. JOSHUA OIGARA, CFO-KCB GROUP



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2011 KCB Group Financial results

Chief Financial Officer
Joshua Oigara



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Financial Highlights Vs. Prior year

Profit Before Tax: KShs. 15.1B, up 54% (2010: KShs. 9.8B)

- **Strong performance in Kenya business: Pre-tax profit, KShs. 14.1B up 40% (2010: KShs. 10B after eliminating inter-company dividends)**
- **Excellent results by International Business: Pre-tax profit, KShs. 1B up over 100% (2010: KShs. 221M loss)**
- **Net Interest Income up 19% to KShs. 23.3B (2010: KShs. 19.6B)**
- **Fees and Commission up 35% to KShs. 9.2B (2010: KShs. 6.8B)**
- **Group Balance Sheet rose by 32% to KShs. 330.7B (2010: KShs. 251.4B)**
- **Customer Deposits up 32% to KShs. 259.3B (2010: KShs. 197B)**
- **Cost to Income ratio (Excluding restructuring costs) lower by 500bp to 55% (2010: 60% exclusive of VER costs)**
- **Proposed dividend payout increased by 49% to KShs. 5.5B (2010: KShs. 3.7B)**



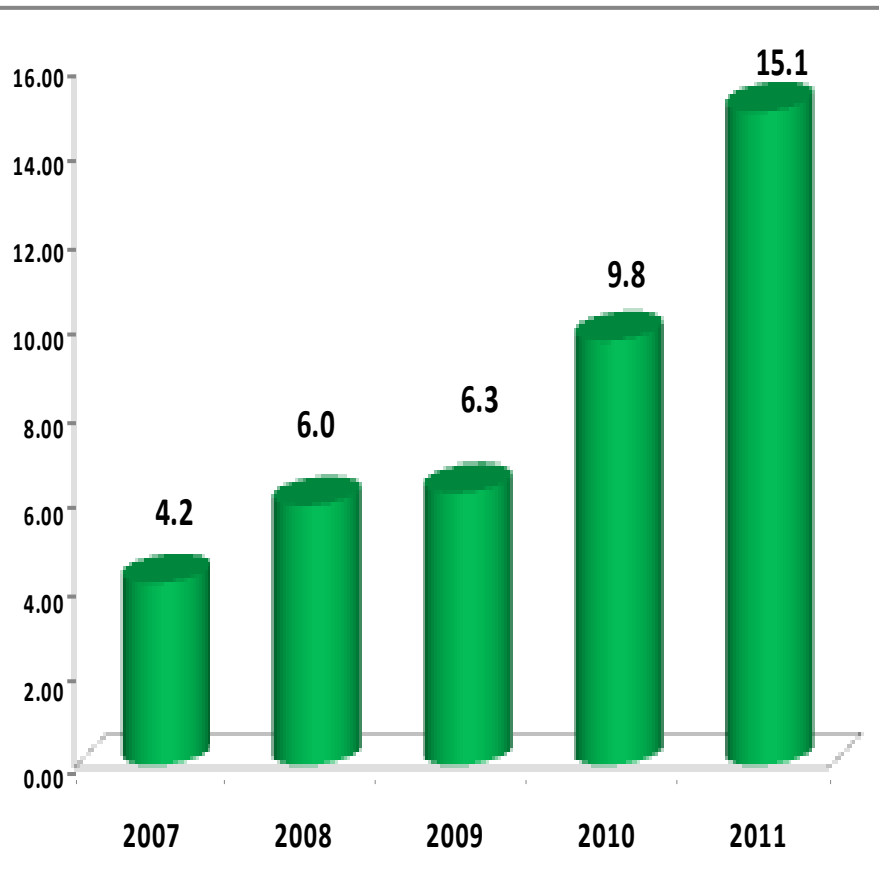
GROUP INCOME STATEMENT (KSHS. M)

	AUDITED Dec 2010	AUDITED Dec 2011	% Change
Net interest income	19,645	23,286	19%
Foreign exchange income	2,775	3,608	30%
Fees and commissions	6,789	9,185	35%
Other income	426	881	107%
Total operating income	29,635	36,960	25%
Total operating expenses	(18,719)	(22,283)	19%
Profit before provisions & tax	10,916	14,677	34%
Provisions for bad debts	(2,144)	(1,897)	(12%)
Bad debts recovered	1,026	2,349	129%
Profit before tax	9,798	15,129	54%
Tax	(2,620)	(4,148)	58%
Profit after tax	7,178	10,981	53%

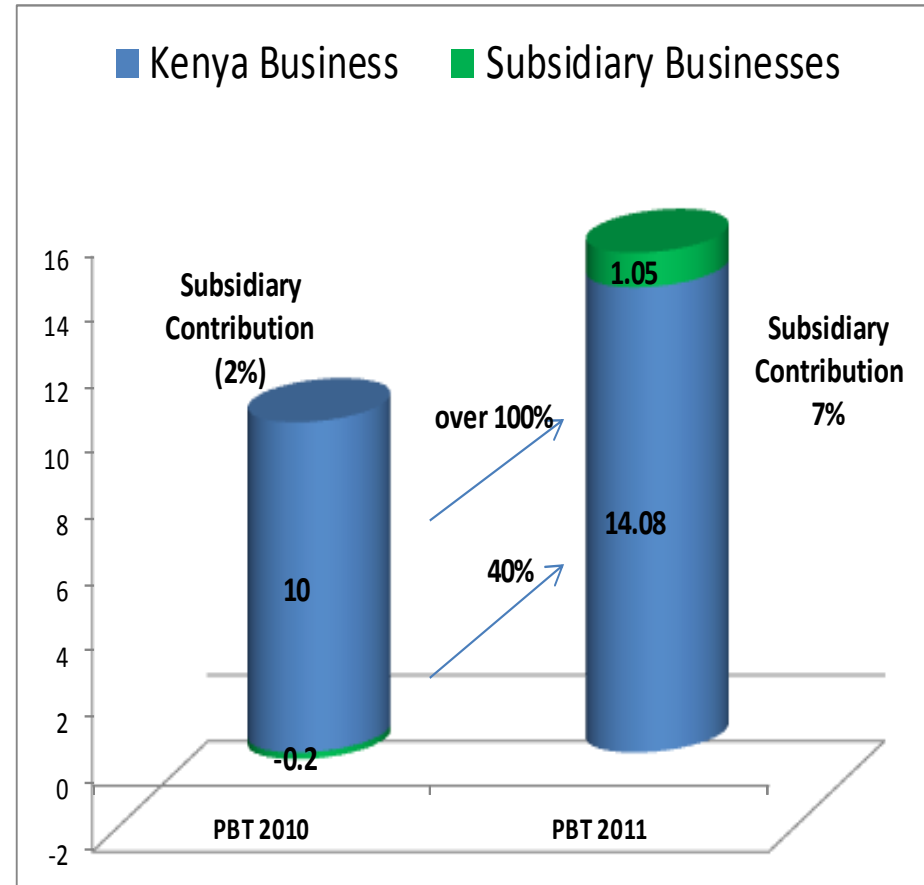


PBT Growth & Contribution

Strong profit growth Kshs (B)



Contribution of PBT

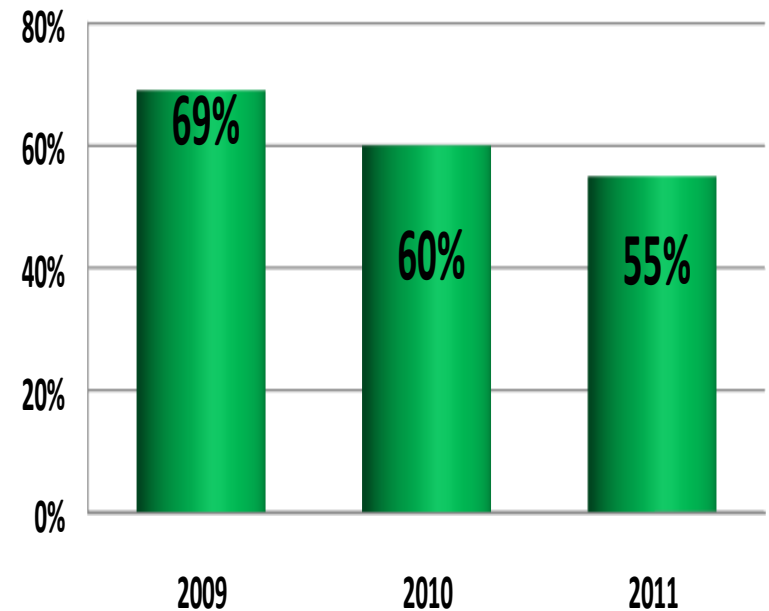
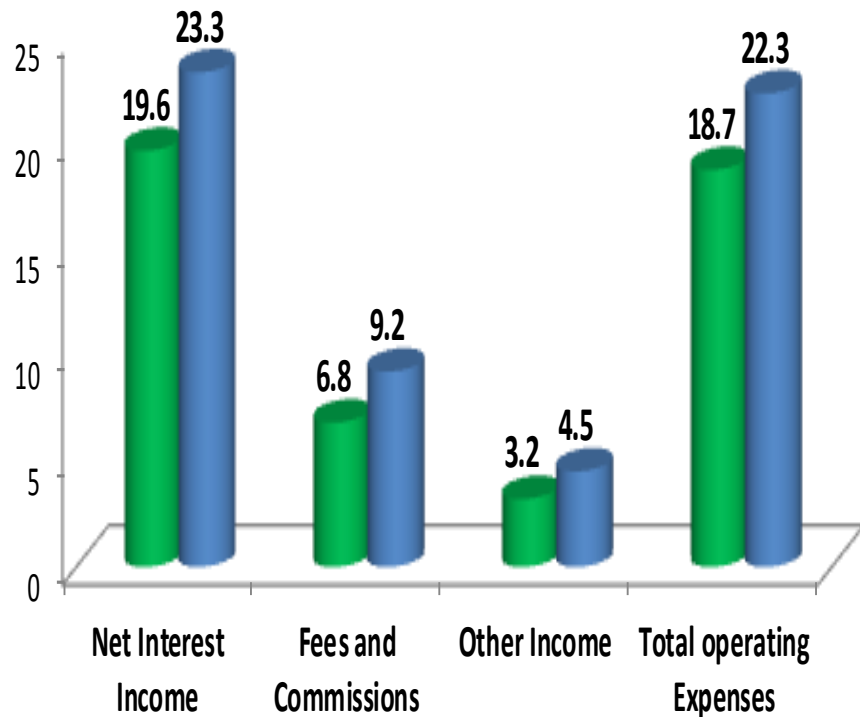


Distribution of Incomes and Expenses

Incomes and Expenses Kshs (B)

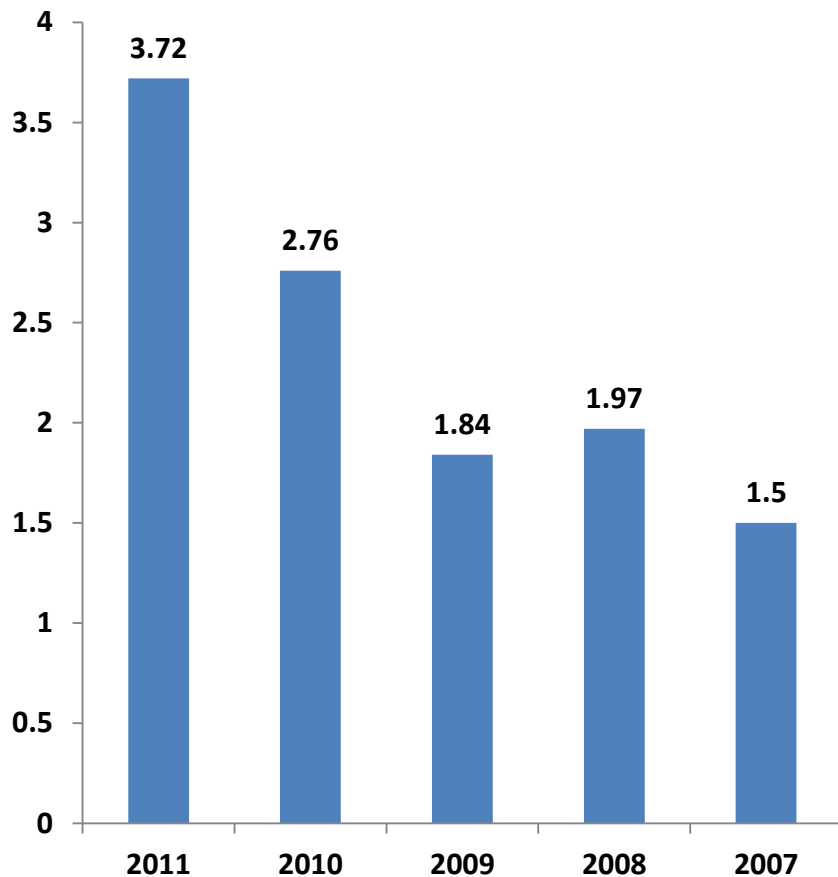
Improved Cost to Income ratio (%)

■ 2010 ■ 2011

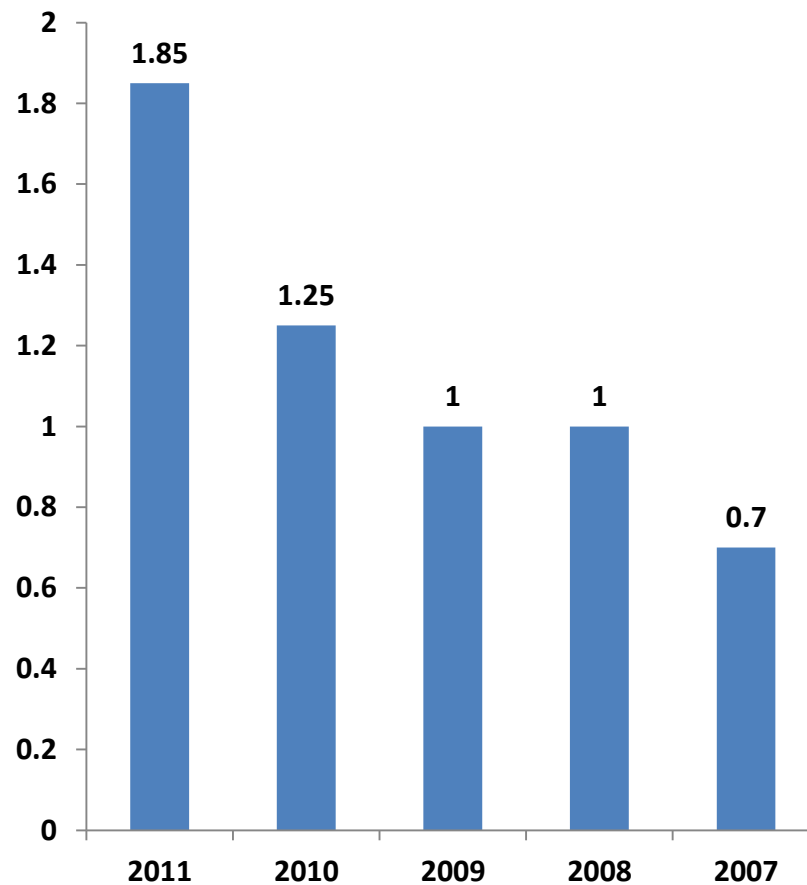


DIVIDEND AND EARNINGS PER SHARE

Earnings per share (Kshs)



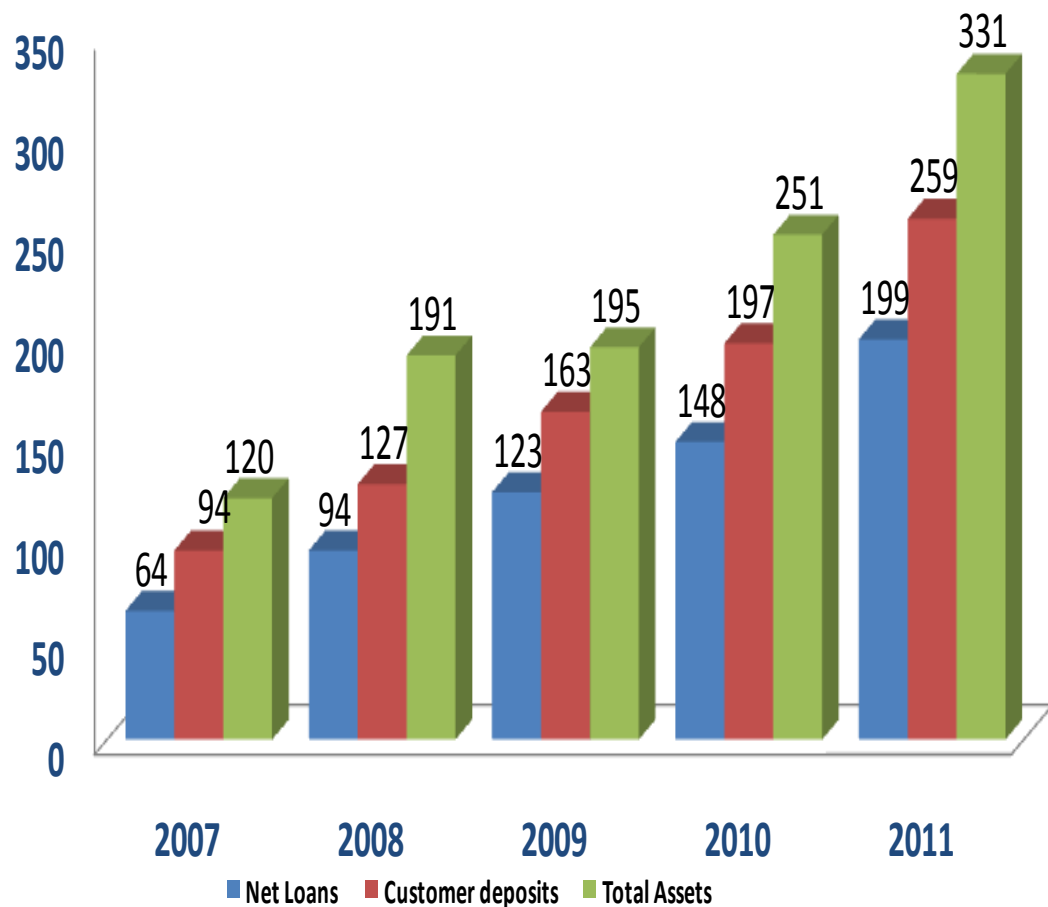
Dividend per share (KShs)



GROUP BALANCE SHEET (KSHS. M)

	AUDITED Dec 2010	AUDITED Dec 2011	% Change
Assets			
Cash and balances with Central Banks	26,998	42,708	58%
Balances with other institutions	10,211	25,812	153%
Investments in Gvt. Securities	47,672	43,591	(9%)
Investment Securities	2,436	2,414	(1%)
Net loans and advances	148,113	198,725	34%
Fixed assets	9,786	9,683	(1%)
Other assets	6,140	7,783	27%
Total Assets	251,356	330,716	32%
Liabilities			
Customer Deposits	196,975	259,309	32%
Balances due to other banks	11,057	14,105	28%
Other liabilities	4,194	4,412	5%
Long-term debt	-	8,525	-
Total Liabilities	212,226	286,351	35%
Share capital	2,950	2,969	1%
Proposed dividends	3,688	5,492	49%
Reserves and premium	32,492	35,904	11%
Shareholders Equity	39,130	44,365	13%
Total Liabilities and Equity	251,356	330,716	32%

Total Assets, Net Loans & Advances And Customer Deposits (KShs. B)



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34%

WEKA WEKA UPDATE ACRE

Deposit and WIN BIG with KCB!

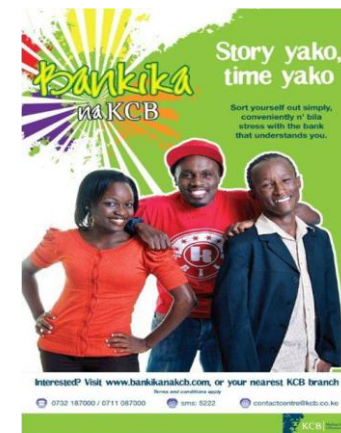
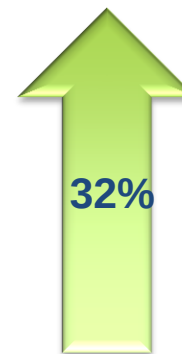
The more you deposit into your KCB Personal or Business Account, the more points you earn and the better your chances to win the grand prize of an acre of land in Kitergeta plus 2 Msh in cash! You can also win a Nissan pickup and millions in cash prize!

32%



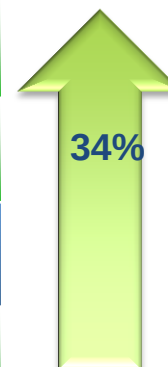
SNAP SHOT OF CUSTOMER DEPOSITS BY ACCOUNT TYPE (KShs. B)

ACCOUNT TYPE	2010	2011	INCREASE
CURRENT ACCOUNT	115	130	13%
TRANSACTION ACCOUNT	42	51	18%
SAVINGS	5	5	0%
FIXED/CALL	35	73	108%
TOTAL	197	259	32%



EXPOSURE BY SECTOR OF LOANS & ADVANCES (KShs. M)

SECTOR	% OF GROSS LOANS	2011	2010	% GROWTH
MORTGAGE	16%	33,722	22,655	49%
MICRO CREDIT/ PERSONAL	29%	60,271	45,093	34%
AGRICULTURE	6%	10,677	9,175	16%
SME	11%	22,506	19,970	13%
CORPORATE	38%	79,540	61,872	29%
TOTAL PROVISIONS		(7,991)	(10,652)	(25%)
NET LOANS		198,725	148,113	34%



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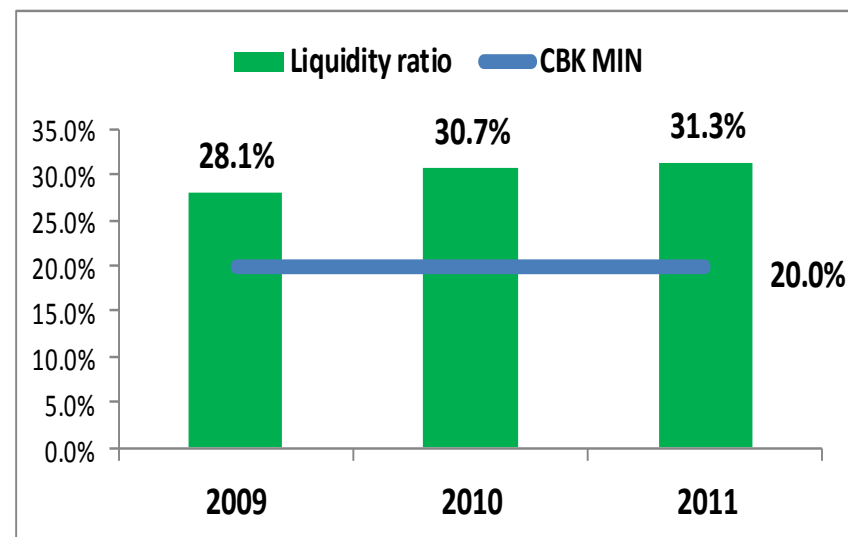
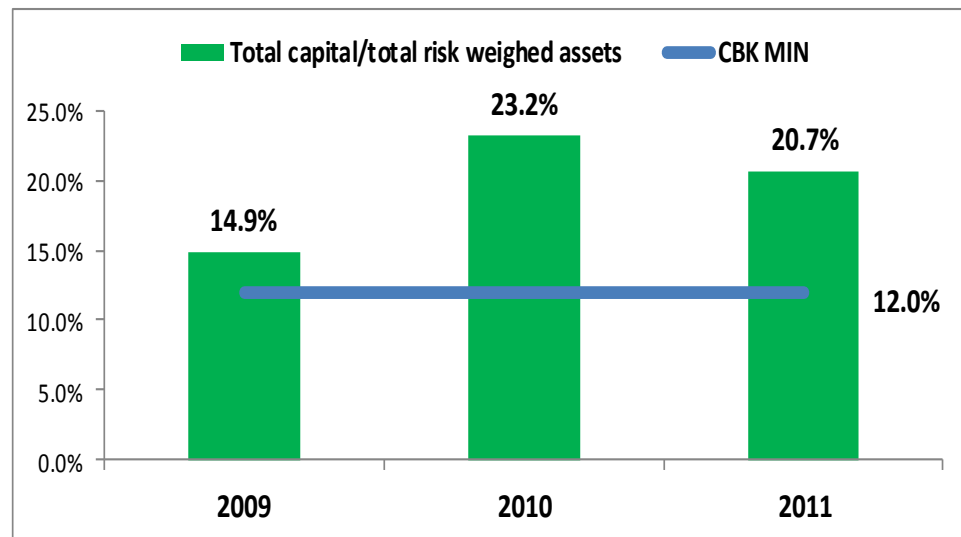
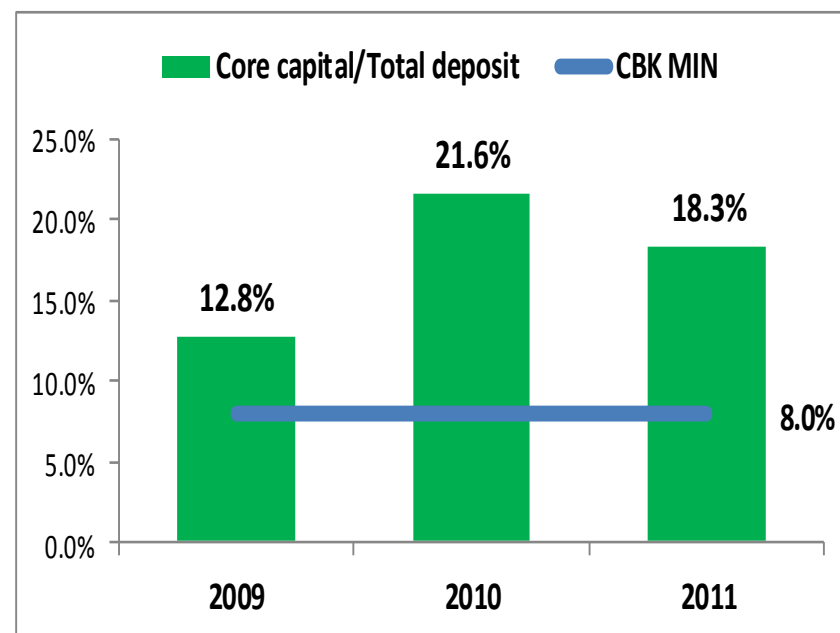
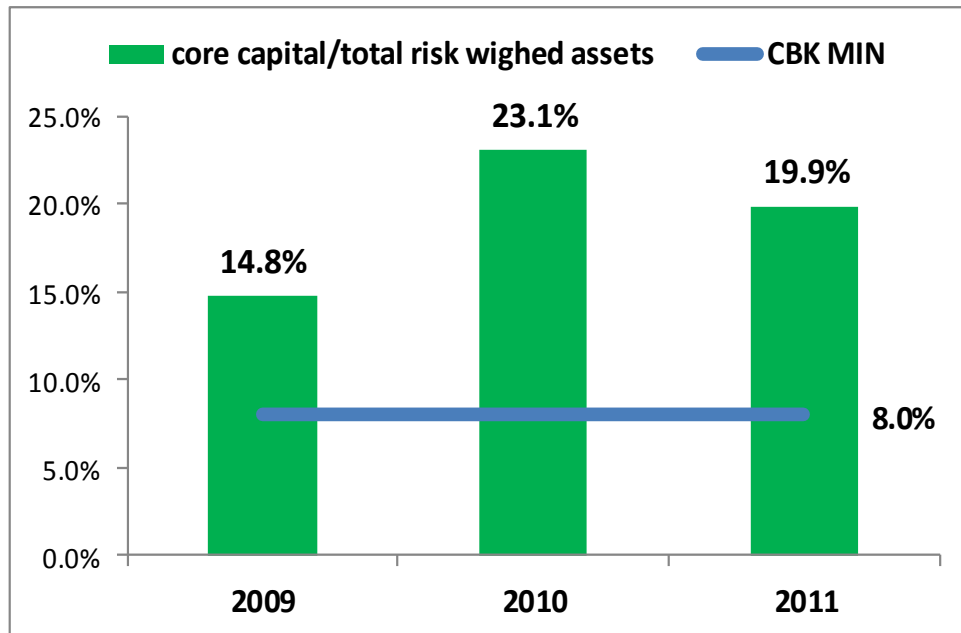
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KEY BANK STATUTORY RATIOS



OUTLOOK 2012

- Strong Performance driven by innovation and transformation initiatives
- Top-line growth highlighting the Group's momentum
- Reduction in the NPL ratio across the Group
- Solid business plan ensures robust performance across the Group
- Strong subsidiary contribution
- Improved regional stakeholder relationships
- Entry into Burundi (Q1)



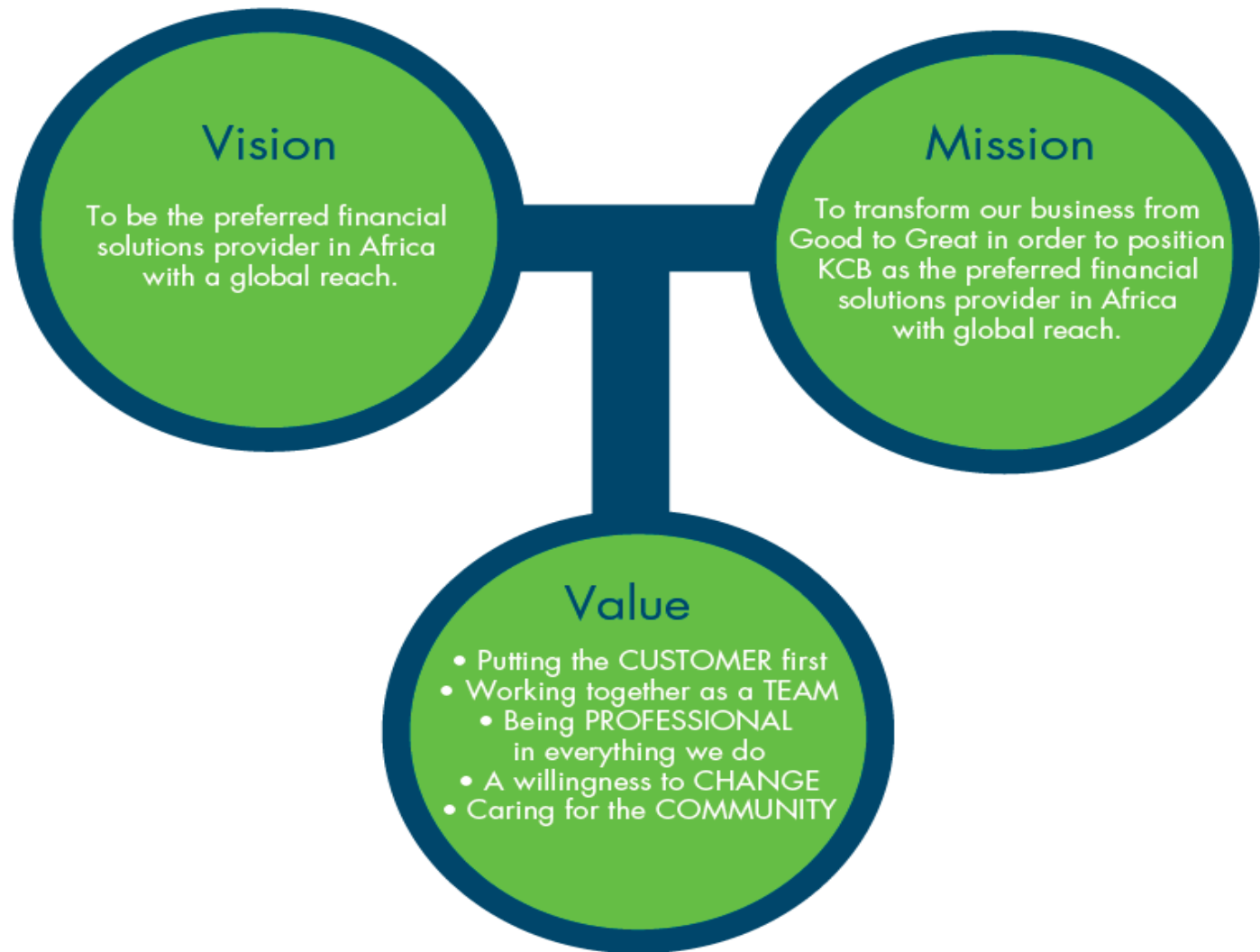


Business Overview
Dr. Martin Oduor-Otieno Group CEO



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The Group Vision, Mission and Values

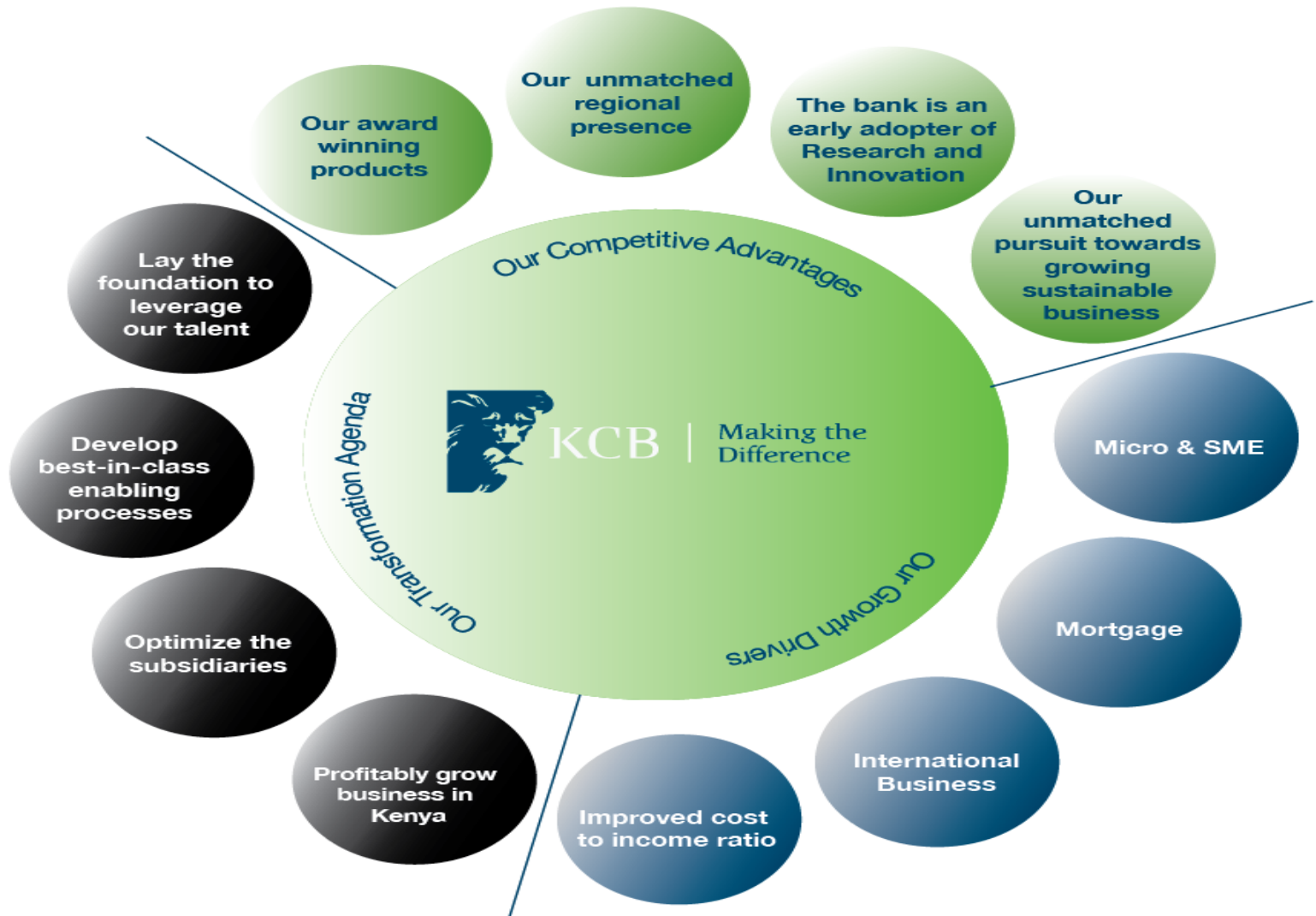


The Group Remained Resilient in a Difficult Economic Environment

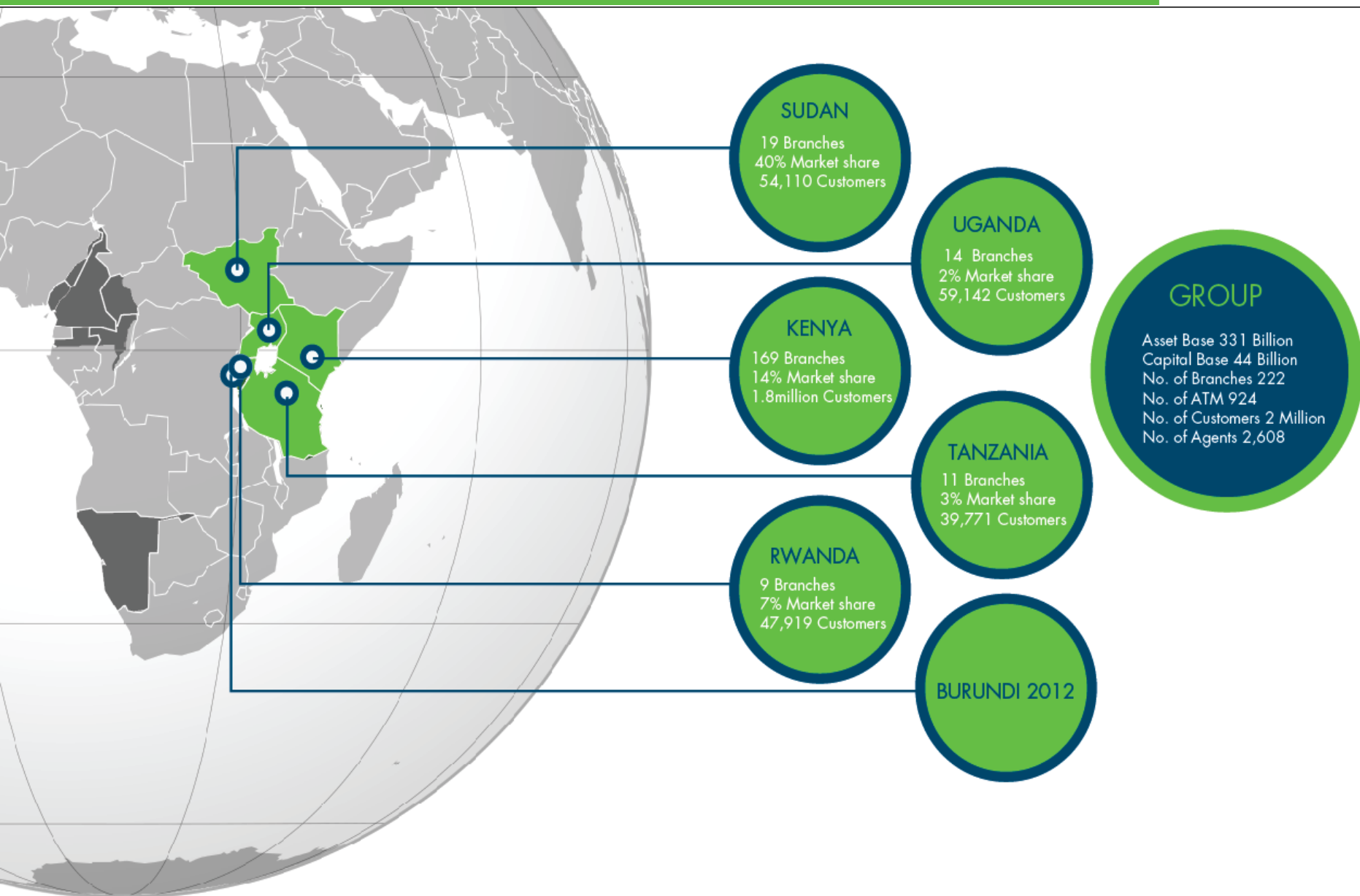
• Increase in inflation Across the region	• In Kenya Inflation hit a high of 19.72%
• Depreciation of the shilling	Across East Africa: In Kenya the shilling hit a low of KShs.107 against the dollar
• Increase in CBR rate	Across East Africa: In Kenya CBR rate Closed at 18%
• European Debt Crisis	Drove foreign investors to offload investments in emerging markets
• The ongoing military operation by Kenya in Somali	Raised budgetary and security concerns
• The contentious Parliament bill on commercial banks lending rate	Increased speculation amongst investors



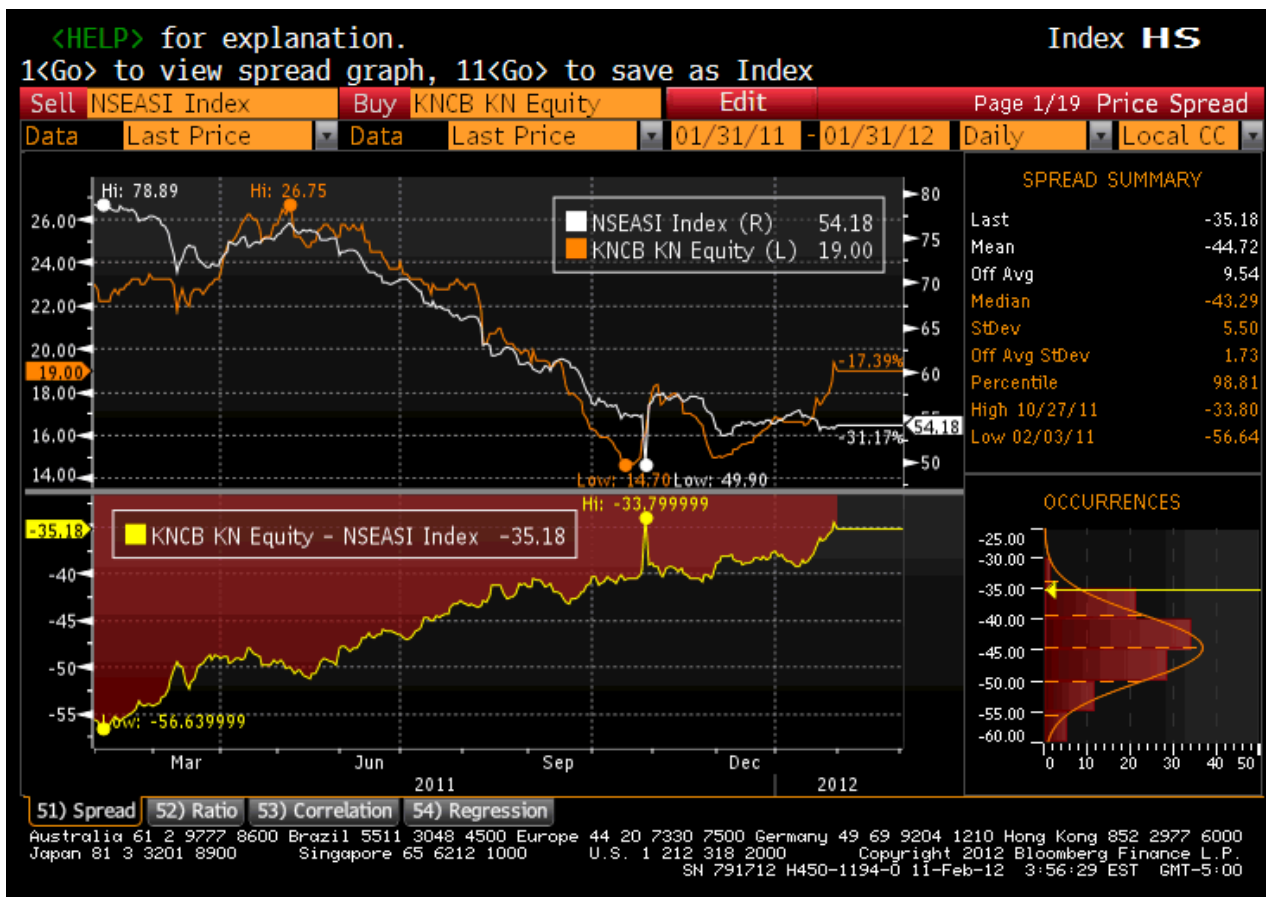
The Group's Road Map to Accelerated Growth and Profitability



The Group Regional Footprint



Share Performance at the NSE

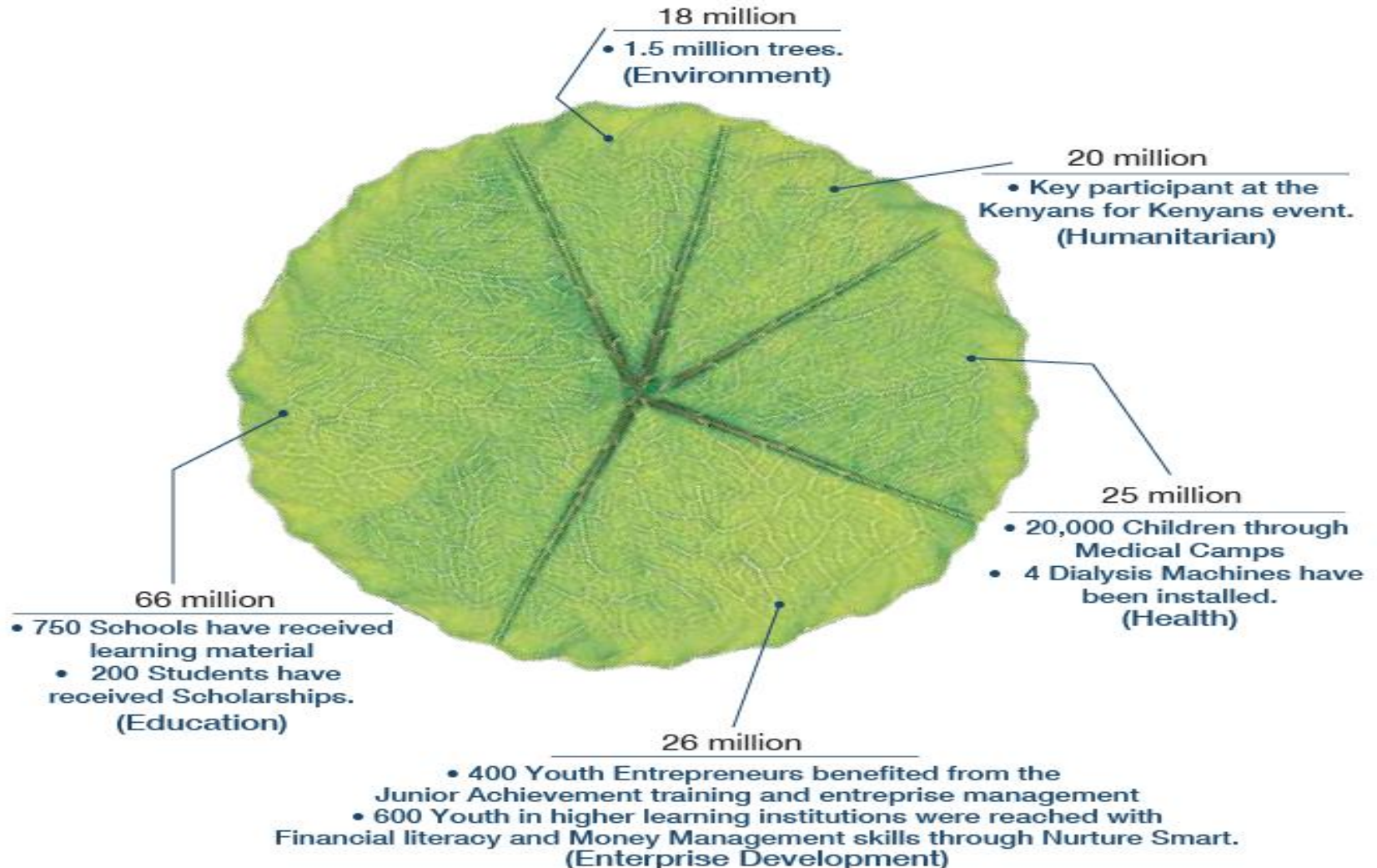


In 2011 the Bank outperformed the NSE All Share index by 7.7%

KCB stocks made it to the top 5 on the FTSE NSE Kenya 25 Index



Community Partnerships in 2011



Awards



The recent awards that the bank has received include:

- Best trade finance Bank in Kenya 2011 (The Asian Banker International excellence Awards 2011)
- Best Retail Bank in Kenya 2011 (Global Finance Magazine 2011)
- Best local bank in Kenya 2008, 2009 & 2010 (EMEAFinance)
- Euromoney Awards of Excellence
- CEO of the Year 2010 (Africa investor SRI -Socially Responsible Investment 30)
- 2010 Banking Awards Kenya



CONTACT US

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